Equity shareholder's funds = Equity share capital + General reserve + Surplus
= 2,00,000 + 1,25,000 + 75,000 = ₹ 4,00,000

Illustration 7

From the following Balance Sheet of Arunan Ltd. as on 31.03.2019 calculate
(i) Debt-equity ratio (ii) Proprietary ratio and (iii) Capital gearing ratio.

Balance Sheet of Arunan Ltd. as on 31.03.2019

Particulars	₹
I EQUITY AND LIABILITIES	
1. Shareholders' funds	
(a) Share capital	
Equity share capital	1,50,000
8% Preference share capital	2,00,000
(b) Reserves and surplus	1,50,000
2. Non current liabilities	
Long term borrowings (9% Debentures)	4,00,000
3. Current liabilities	
Short-term borrowings from banks	25,000
Trade payables	75,000
Total	**10,00,000**
II ASSETS	
1. Non-current assets	
Fixed assets	7,50,000
2. Current assets	
(a) Inventories	1,20,000
(b) Trade receivables	1,00,000
(c) Cash and cash equivalents	27,500
(d) Other current assets	
Expenses paid in advance	2,500
Total	**10,00,000**

Solution

(i) Debt equity ratio $= \frac{\text{Long term debt}}{\text{Shareholders' funds}} = \frac{4,00,000}{5,00,000} = 0.8:1$

Long term debt = 9% Debentures = ₹ 4,00,000

Shareholders' funds = Equity share capital + Preference share capital + Reserves and surplus
= 1,50,000 + 2,00,000 + 1,50,000 = ₹ 5,00,000

(ii) Proprietary ratio $= \frac{\text{Shareholders' funds}}{\text{Total assets}} = \frac{5,00,000}{10,00,000} = 0.5:1$

(iii) Capital gearing ratio $= \frac{\text{Funds bearing fixed interest and dividend}}{\text{Equity Shareholders' funds}} = \frac{6,00,000}{3,00,000} = 2:1$

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